CHAPTER 5

FINANCIAL INCLUSION

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Financial inclusion was the fourth pillar of our strategy. I believed it was critical for sustainable growth, as is clear in the speeches I gave on the political economy of our development (reproduced later). In the Gadgil Lecture delivered on 13 February 2014, I set out some of what we intended to do, based on the Dr Nachiket Mor Committee report, which had just been submitted to the RBI.

Financial Inclusion: Technology, Institutions and Policies

The Dr Nachiket Mor Committee Report has given the RBI much food for thought on the issues of financial inclusion. I want to reflect on the recommendations, even while putting some additional issues on the table.

Financial inclusion is about (a) the broadening of financial services to those people who do not have access to financial services sector ; (b) the deepening of financial services for people who have minimal financial services; and (c) greater financial literacy and consumer protection so that those who are offered the products can make appropriate choices. The imperative for financial inclusion is both a moral one as well as one based on economic efficiency. Should we not